

The Tribunal concurs that intent is not decisive or essential for a finding of discrimination, and that the impact of the measure on the investment would be the determining factor to ascertain whether it had resulted in non-discriminatory treatment.⁴⁴⁷

However, there are cases that indicate that discriminatory intent is relevant. In some cases, the Tribunals also looked at the question whether measures had been taken in view of the investors' foreign nationality.⁴⁴⁸ In *LG&E v Argentina*,⁴⁴⁹ the Tribunal held that either discriminatory intent or discriminatory effect would suffice. In the end, it relied on the effect of the acts in question. The Tribunal said:

In the context of investment treaties, and the obligation thereunder not to discriminate against foreign investors, a measure is considered discriminatory if the intent of the measure is to discriminate or if the measure has a discriminatory effect.⁴⁵⁰

Therefore, the primary criterion for discrimination under a treaty clause protecting the investor against arbitrary or discriminatory treatment is whether the investor has, in fact, been treated less favourably than other investors, especially based on nationality. Despite some cases pointing to discriminatory intent, the preponderant view is that discrimination need not be based on an intention to discriminate. *De facto* discrimination is enough.

4. National treatment

ADDITIONAL READING: AK Bjorklund, 'National Treatment' in A Reinisch (ed) *Standards of Investment Protection* (2009) 29; A Kamperman Sanders (ed) *The Principle of National Treatment in International Economic Law* (2014); A Reinisch, 'National Treatment' in M Bungenberg et al (eds) *International Investment Law* (2015) 846; RE Vinuesa, 'National Treatment, Principle' in R Wolfrum (ed) *International Economic Law—The Max Planck Encyclopedia of Public International Law* (2015) 664; J Kurtz, 'National Treatment' in J Kurtz (ed) *The WTO and International Investment Law* (2016) 79; AK Bjorklund, 'The National Treatment Obligation' in K Yannaca-Small (ed) *Arbitration under International Investment*

⁴⁴⁷ At para 321.

⁴⁴⁸ *Lauder v Czech Republic*, Final Award, 3 September 2001, para 231. In *Methanex v United States*, Final Award on Jurisdiction and Merits, 3 August 2005, the Tribunal is unclear on this point: see IV, B, para 1 and para 12; *Noble Ventures v Romania*, Award, 12 October 2005, para 180; *Lemire v Ukraine*, Decision on Jurisdiction and Liability, 14 January 2010, para 356; *Urbaser v Argentina*, Award, 8 December 2016, para 1088.

⁴⁴⁹ *LG&E v Argentina*, Decision on Liability, 3 October 2006.

⁴⁵⁰ At para 146. Footnote omitted.

Agreements (2018) 21.01; A Reinisch and C Schreuer, *International Protection of Investments* (2020) 587.

(a) General meaning

Clauses on national treatment are part of the standard repertoire of investment treaties. They appear in BITs as well as in multilateral treaties like the ECT (Article 10(3)), the NAFTA (Article 1102), and the USMCA (Article 14.4). Most of the relevant practice deals with the national treatment clause of NAFTA which provides in Article 1102(1):

Each Party shall accord to investors of another Party treatment no less favorable than that it accords, in like circumstances, to its own investors with respect to the establishment, acquisition, expansion, management, conduct, operation, and sale or other disposition of investments.

National treatment clauses are an expression of the non-discrimination principle. Under customary international law there is no obligation to treat nationals and foreigners alike.⁴⁵¹ National treatment clauses are meant to provide a level playing field between foreign investors and their local competitors and to prevent protectionist measures by host States in favour of national investors. They oblige host States to make no negative differentiation between foreign and national investors when enacting and applying their rules and regulations and thus to promote the position of the foreign investor to the level accorded to nationals.⁴⁵² The standard is therefore contingent, relative, or comparative. The required treatment of foreign investors depends on treatment accorded to national investors.

The purpose of national treatment clauses in investment treaties differs fundamentally from the concept of 'national treatment' as it became known a few decades ago, as part of the proposed 'New International Economic Order'.⁴⁵³ That concept was intended to limit, as far as possible, any rights a foreign investor could derive from international law.

Most national treatment clauses apply once a business is established (post-entry national treatment). This covers both regulatory and contractual matters.⁴⁵⁴ Some investment treaties, especially those concluded by the United States and Canada,⁴⁵⁵

⁴⁵¹ *Methanex v United States*, Final Award on Jurisdiction and Merits, 3 August 2005, IV, C, para 25.

⁴⁵² *Thunderbird v Mexico*, Arbitral Award, 26 January 2006, para 175; *Champion Trading v Egypt*, Award, 27 October 2006, para 125; *Parkerings v Lithuania*, Award, 11 September 2007, para 367; *Archer Daniels Midland v Mexico*, Award, 21 November 2007, para 193; *Bayindir v Pakistan*, Award, 27 August 2009, para 387.

⁴⁵³ See I.1(c) above.

⁴⁵⁴ *Bayindir v Pakistan*, Award, 27 August 2009, para 388.

⁴⁵⁵ The CETA text includes a pre-entry national treatment requirement which is however not arbitrable (Article 8.6. CETA in combination with Article 8.18 CETA).

also offer a right of access to a national market based on national treatment (pre-entire national treatment).⁴⁵⁶

The relative homogeneity of national treatment clauses in BITs does not mean that the standard is easy to apply. Although the basic clause is generally the same, the practical implications differ due to exemptions of certain business sectors. More importantly, even the basic guarantee contained in the national treatment standard itself is not always clear. Only few tribunals have found breaches of this standard and even where they did, they usually failed to discuss the exact meaning of the concept. It is generally agreed that the application of national treatment clauses is fact specific.⁴⁵⁷ Like the concept of FET,⁴⁵⁸ the national treatment standard resists abstract definition and a consistent approach to its interpretation is difficult to make out.

There is a certain overlap of the national treatment standard with the non-discrimination obligation under the FET standard⁴⁵⁹ and the prohibition of arbitrary or discriminatory measures⁴⁶⁰ contained in many investment protection treaties.

In examining whether the national treatment standard has been respected, tribunals typically take three steps.⁴⁶¹ First, the tribunal will determine whether the foreign investor and the domestic investor are placed in a comparable setting, in 'a like situation' or in 'like circumstances'. Second, it must determine whether the treatment accorded to the foreign investor was at least as favourable as the treatment accorded to domestic investors. Third, in the case of treatment that is less favourable, it must determine whether the differentiation was justified. Behind these seemingly simple parameters of the clause, lie complex issues that are not fully answered by existing case law.

(b) The basis of comparison: like circumstances

National treatment clauses typically do not contain an indication how to decide on the comparator. US treaties traditionally specify that the clause will apply in 'like situations'.⁴⁶² In recent years, US treaty practice has changed to 'in like

⁴⁵⁶ See VI.5(b) above. See also *ADF v United States*, Award, 9 January 2003, para 153.

⁴⁵⁷ The Appellate Body of the WTO has observed that the 'concept of "likeness" is a relative one that evokes the image of an accordion'; *Japan—Taxes on Alcoholic Beverages II*, WT/DS8, -10, -11/AB/R (4 October 1996), at H.1.(a).

⁴⁵⁸ See VIII.1(d) above.

⁴⁵⁹ See VIII.1(e) above.

⁴⁶⁰ See VIII.3(d) above.

⁴⁶¹ *Methanex v United States*, Final Award, 3 August 2005, IV, B, para 13; *UPS v Canada*, Award on the Merits, 24 May 2007, para 83; *Archer Daniels Midland v Mexico*, Award, 21 November 2007, para 196; *Bayindir v Pakistan*, Award, 27 August 2009, para 399; *Olin v Libya*, Award, 25 May 2018, para 204. In *Gavrilović v Croatia*, Award, 26 July 2018, para 1191 the Tribunal focused on only two of the elements. It analysed whether: (i) the Claimants and [a host State national] were in like circumstances; and (ii) the Claimants were accorded less favourable treatment than [the host state national].

⁴⁶² See the 1984 US Model BIT Article II.1.

circumstances.’⁴⁶³ The NAFTA (Article 1102) and the USMCA (Article 14.4) refer to ‘in like circumstances’. The CETA (Article 8.6) refers to ‘in like situations’.

Finding a suitable basis of comparison has turned out to be difficult.⁴⁶⁴ Some tribunals have pointed out that this analysis was fact-specific.⁴⁶⁵ Some investment tribunals have taken the view that in order to determine whether a foreign investor and a local comparator were in ‘like circumstances’ or ‘like situations’ they had to assess whether they operated in the same economic sector.⁴⁶⁶ For instance, the Tribunal in *SD Myers v Canada*⁴⁶⁷ emphasized the relevance of the ‘economic’ or ‘business’ sector for the determination of likeness:

The concept of ‘like circumstances’ invites an examination of whether a non-national investor complaining of less favorable treatment is in the same ‘sector’ as the national investor. The Tribunal takes the view that the word ‘sector’ has a wide connotation that includes the concepts of ‘economic sector’ and ‘business sector’.⁴⁶⁸

Similarly, in *Feldman v Mexico*, ‘in like circumstances’ was interpreted to refer to the same business: the export of cigarettes.⁴⁶⁹ By contrast, the Tribunal in *Occidental v Ecuador* referred to local producers in general, ‘and this cannot be done by addressing exclusively the sector in which that particular activity is undertaken’.⁴⁷⁰ It considered the measure ‘VAT refund’ rather than the particular economic activity of the investor for the establishment of the relevant comparator.

A fact-specific assessment of ‘like circumstances’ must look beyond business sectors and include the business and regulatory environment surrounding the activity in question.⁴⁷¹ This approach was taken in *Merrill & Ring v Canada*.⁴⁷² The Tribunal said:

NAFTA tribunals have, on a number of occasions, considered various factors in assessing whether investors are ‘in like circumstances’ ... The environment, trade, the nature of services and functions, and public policy considerations are

⁴⁶³ See the 2004 and 2012 US Model BITs Article 3.

⁴⁶⁴ *Bogdanov v Moldova III*, Final Award, 16 April 2013, para 218.

⁴⁶⁵ *Bayindir v Pakistan*, Award, 27 August 2009, para 389; *Apotex v United States*, Award, 25 August 2014, para 8.15; *Vento v Mexico*, Award, 6 July 2020, para 240.

⁴⁶⁶ *Pope & Talbot v Canada*, Award on the Merits of Phase 2, 10 April 2001, para 78; *ADF v United States*, Award, 9 January 2003, para 156; *Champion Trading v Egypt*, Award, 27 October 2006, para 130; *Archer Daniels Midland v Mexico*, Award, 21 November 2007, paras 198–201; *Olin v Libya*, Award, 25 May 2018, paras 205–208.

⁴⁶⁷ *SD Myers v Canada*, Partial Award, 13 November 2000.

⁴⁶⁸ At para 250.

⁴⁶⁹ *Feldman v Mexico*, Award, 16 December 2002, para 171.

⁴⁷⁰ *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 173.

⁴⁷¹ *Grand River v United States*, Award, 12 January 2011, para 166; *Railroad Development v Guatemala*, Award, 29 June 2012, para 153; *Levy v Peru*, Award, 26 February 2014, paras 396–401.

⁴⁷² *Merrill & Ring v Canada*, Award, 31 March 2010.

found among such factors. This also explains why it is not enough on occasions to undertake the comparison solely in the same sector of economic activity and it might be necessary, as in *Occidental*, to consider whole sectors of the economy and business.⁴⁷³

Instead of focusing on business sectors, the Tribunal decided ‘that the proper comparison is between investors which are subject to the same regulatory measures under the same jurisdictional authority’.⁴⁷⁴

The Tribunal in *Apotex v United States*⁴⁷⁵ noted that the parties accepted that both the business sector and the regulatory regime were relevant. It said:

it is appropriate in the identification of comparators which are in ‘like circumstances’ to look at, *inter alia*, whether those which are said to be comparators: (i) are in the same economic or business sector; (ii) have invested in, or are businesses that compete with the investor or its investments in terms of goods or services; or (iii) are subject to a comparable legal regime or regulatory requirements, as the Claimants and their investments.⁴⁷⁶

In *Clayton/Bilcon v Canada*, the Tribunal found that the comparison cases concerning environmental impact assessments invoked by the investor where ‘sufficiently similar’ to use them for a comparison with the treatment that the claimant’s investment had received.⁴⁷⁷ The application of a ‘less favourable evaluation standard’ to the foreign investor led to a finding of a violation.⁴⁷⁸

Therefore, the overall legal context in which a measure is placed must also be considered when ‘like circumstances’ are identified.

(c) Less favourable treatment

The application of a national treatment clause presupposes some type of ‘treatment’ by the host State. This indicates that what is required is not a theoretical distinction but actual behaviour.⁴⁷⁹ The Tribunal in *Daimler v Argentina*⁴⁸⁰ stated:

⁴⁷³ At para 88.

⁴⁷⁴ At para 89.

⁴⁷⁵ *Apotex v United States*, Award, 25 August 2014.

⁴⁷⁶ At para 8.15.

⁴⁷⁷ *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, para 695.

⁴⁷⁸ At para 705.

⁴⁷⁹ *SD Myers v Canada*, Partial Award, 13 November 2000, para 254; *Merrill & Ring v Canada*, Award, 31 March 2010, paras 79–80.

⁴⁸⁰ *Daimler v Argentina*, Award, 22 August 2012.

beyond dispute is that 'treatment' deals with the actual behavior of the Host States towards a foreign private investment as measured against the international obligations binding upon the State on the basis of treaty law and general international law.⁴⁸¹

Under most national treatment clauses, the treatment of foreign investors must be 'no less favourable' than that of their domestic counterparts. This leaves the possibility that national law may be more favourable for the foreign investor. Hence, a positive differentiation remains permissible and will even be obligatory if the minimum standard under international law is higher than the one applied to nationals.

Several questions arise with regard to the existence of a differentiation. Must the host State give a foreign investor the most favourable treatment given to any national comparator, or treatment no less favourable than the average domestic investor or even only the least favourably treated domestic investor?⁴⁸² Most investment protection treaties do not address this question and the case law of tribunals also does not provide a general answer. NAFTA tribunals have accepted that it is enough to prove that the foreign investor was treated less favourably than a single domestic investor who was in like circumstances.⁴⁸³

Some tribunals have distinguished between *de jure* and *de facto* discrimination, sometimes also referred to as direct and indirect discrimination.⁴⁸⁴ The difference between the two is usually the degree to which the discriminatory treatment is evident. *De jure* or direct discrimination refers to discriminatory treatment that is openly linked to (foreign) nationality, whereas *de facto* or indirect discrimination indicates treatment that disadvantages foreign investors as a matter of fact even though it may be neutral on its face.

In *Archer Daniels Midland v Mexico*,⁴⁸⁵ the Tribunal endorsed this view and defined these two forms of discrimination as follows:

The national treatment obligation under Article 1102 is an application of the general prohibition of discrimination based on nationality, including both *de jure* and *de facto* discrimination. The former refers to measures that on their face treat entities differently, whereas the latter includes measures which are neutral on their face but which result in differential treatment.⁴⁸⁶

⁴⁸¹ At para 218. See also *Apotex v United States*, Award, 25 August 2014, paras 8.11–8.14.

⁴⁸² *Feldman v Mexico*, Award, 16 December 2002, para 185. See also AK Bjorklund, 'National Treatment' in A Reinisch (ed) *Standards of Investment Protection* (2009) 29, 54.

⁴⁸³ *Pope & Talbot v Canada*, Award of the Merits of Phase 2, 10 April 2001, para 41; *Archer Daniels Midland v Mexico*, Award, 21 November 2007, para 205.

⁴⁸⁴ *ADF v United States*, Award, 9 January 2003, para 157; *Parkerings v Lithuania*, Award, 11 September 2007, para 368; *Corn Products v Mexico*, Decision on Responsibility, 15 January 2008, para 115; *Casinos Austria v Argentina*, Decision on Jurisdiction, 29 June 2018, para 249.

⁴⁸⁵ *Archer Daniels Midland v Mexico*, Award, 21 November 2007.

⁴⁸⁶ At para 193.

The same view was expressed by the Tribunal in *Alpha v Ukraine*.⁴⁸⁷

Such discrimination could arise *de jure* if there is a government measure such as a law or regulation that explicitly discriminates between domestic and foreign investors, or *de facto* if the measure is not explicitly or inherently discriminatory but discriminates between domestic and foreign investors in the way in which it is applied.⁴⁸⁸

The references to ‘national treatment’ and to ‘investors of the other Contracting State’ indicate that these clauses prohibit discrimination based on nationality. This leaves open the question whether they apply to differentiations that are not nationality-based but are still unjustifiable on rational grounds.⁴⁸⁹ The Tribunal in *Feldman v Mexico*⁴⁹⁰ seemed to think that it was sufficient to produce proof of discrimination and not necessary to show discrimination based on nationality. The Tribunal said:

it is not self-evident, as the Respondent argues, that any departure from national treatment must be *explicitly* shown to be a result of the investor’s nationality. There is no such language in Article 1102. Rather, Article 1102 by its terms suggests that it is sufficient to show less favorable treatment for the foreign investor than for domestic investors in like circumstances... For practical as well as legal reasons, the Tribunal is prepared to assume that the differential treatment is a result of the Claimant’s nationality, at least in the absence of any evidence to the contrary.⁴⁹¹

Similarly, the Tribunal in *Thunderbird v Mexico*⁴⁹² indicated that it was not necessary for the claimant to show separately that the discrimination was motivated by nationality. The fact of less favourable treatment was enough. The Tribunal said:

It is not expected from *Thunderbird* that it show *separately* that the less favourable treatment was motivated because of nationality. The text of Article 1102 of the NAFTA does not require such showing. Rather, the text contemplates the case where a foreign investor is treated less favourably than a national investor. That case is to be proven by a foreign investor, and, additionally, the reason why there was a less favourable treatment.⁴⁹³

⁴⁸⁷ *Alpha v Ukraine*, Award, 8 November 2010.

⁴⁸⁸ At para 426.

⁴⁸⁹ *Pope & Talbot v Canada*, Award on the Merits of Phase 2, 10 April 2001, para 79; *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 177; *Merrill & Ring v Canada*, Award, 31 March 2010, para 94.

⁴⁹⁰ *Feldman v Mexico*, Award, 16 December 2002.

⁴⁹¹ At para 181. Italics original.

⁴⁹² *Thunderbird v Mexico*, Arbitral Award, 26 January 2006.

⁴⁹³ At para 177. Underlining original.

On the other hand, a purely incidental differentiation resulting from misguided policy decisions does not suffice to show discrimination.⁴⁹⁴ Also, a differentiation need not violate domestic law to be contrary to the national treatment standard. The Tribunal in *Lauder v Czech Republic*⁴⁹⁵ said in this respect:

For a measure to be discriminatory, it does not need to violate domestic law, since domestic law can contain a provision that is discriminatory towards foreign investment, or can lack a provision prohibiting the discrimination of foreign investment.⁴⁹⁶

(d) Is there a justification for the differentiation?

The third part of an investigation into an alleged violation of a national treatment clause pertains to the justification for a differentiating measure. Although most investment treaties do not explicitly say so, it is widely accepted that differentiations are justifiable if rational grounds are shown. However, a precise definition of these grounds has remained elusive. Furthermore, the case law is not uniform on whether the pursuit of some rational policy by the government to justify the differential treatment is sufficient⁴⁹⁷ or whether the State must use the least interfering means with investor rights if there are several alternative ways to achieve its policy goals.⁴⁹⁸

Some tribunals have merged the justification test with their analysis of whether the foreign investor was in 'like circumstances' with the domestic comparator.⁴⁹⁹ This conflates the question whether two entities are comparable for the purpose of the national treatment standard with the question whether a difference in treatment is justified by a rational government policy. For reasons of clarity, judicial rigour, and transparency it is better to keep the three steps of analysis (like circumstances, less favourable treatment, justification) apart. This allows States and investors to anticipate more effectively which differentiations are accepted as justified by tribunals.

National policies in favour of the domestic public interest can, under certain circumstances, constitute a rational ground for according less than national treatment. However, which specific grounds may be argued in this regard is unclear.⁵⁰⁰

⁴⁹⁴ *GAMI v Mexico*, Final Award, 15 November 2004, para 114.

⁴⁹⁵ *Lauder v Czech Republic*, Final Award, 3 September 2001.

⁴⁹⁶ At para 220.

⁴⁹⁷ *GAMI v Mexico*, Final Award, 15 November 2004, para 114.

⁴⁹⁸ *SD Myers v Canada*, Partial Award, 13 November 2000, para 221.

⁴⁹⁹ *SD Myers v Canada*, Partial Award, 13 November 2000, para 250; *Pope & Talbot v Canada*, Award on Merits of Phase 2, 10 April 2001, para 78; *Feldman v Mexico*, Award, 16 December 2002, para 170; *Apotex v United States*, Award, 25 August 2014, para 8.55.

⁵⁰⁰ See already the PCIJ in the *Oscar Chinn Case (UK v Belgium)*, Judgment, 12 December 1934, PCIJ, Series A/B, No 63.

Tribunals have accepted a variety of circumstances as legitimizing differential treatment. In *SD Myers v Canada*, the Tribunal seems to have assumed that subsidies are allowed to promote national policies.⁵⁰¹ In *GAMI v Mexico*, the Tribunal found that the solvency of an important local industry, in this case sugar, was a legitimate policy goal.⁵⁰² In *ADF v United States*, the Tribunal found no violation of the national treatment standard in a US requirement to use locally produced steel for government projects, if it was applied equally to national and foreign contractors.⁵⁰³

In *Clayton/Bilcon v Canada*, the respondent had applied different environmental impact tests to comparable projects. The Tribunal found that the host State must pursue a reasonable and non-discriminatory policy and decided that there was no rational government policy for applying the different standards.⁵⁰⁴

In *Rusoro v Venezuela*,⁵⁰⁵ the Tribunal decided that it was justified to differentiate between small-scale miners and large mining companies. It did not, however, distinguish between the 'in like circumstances' test and the 'justification' analysis and stated:

The Bolivarian Republic has adopted an official policy, differentiating between small scale, traditional miners and large mining companies and offering additional support and less stringent requirements to small miners. Thus Rusoro (and other large miners) and small scale miners are not 'in like circumstances', and the difference in treatment is justified by valid policy reasons.

The Tribunal finds that the distinct treatment given to small scale miners in the 2010 Measures does not result in a breach of Art. IV.1 of the BIT.⁵⁰⁶

One factor in deciding on the legality of differential treatment might be whether the policy in the specific case is lawful under other relevant rules of international law. Some States promote domestic entities based on cultural policies by way of subsidies.⁵⁰⁷ The UNESCO Convention on the Protection and Promotion of the Diversity of Cultural Expressions, may justify such a differentiation.⁵⁰⁸

In *Thunderbird v Mexico*, the Tribunal held in an *obiter dictum* that no claim to national treatment could be made if the conduct of the investor was illegal under national law, in this case gambling. This applied even if that national law was not

⁵⁰¹ *SD Myers v Canada*, Partial Award, 13 November 2000, para 255: 'CANADA's right to source all government requirements and to grant subsidies to the Canadian industry are but two examples of legitimate alternative measures.'

⁵⁰² *GAMI v Mexico*, Final Award, 15 November 2004, para 114.

⁵⁰³ *ADF v United States*, Award, 9 January 2003, paras 156–158.

⁵⁰⁴ *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, paras 724–725.

⁵⁰⁵ *Rusoro v Venezuela*, Award, 22 August 2016.

⁵⁰⁶ At paras 563, 564.

⁵⁰⁷ See *UPS v Canada*, Award on the Merits, 24 May 2007, para 156.

⁵⁰⁸ Article 20 of the Convention on the Protection and Promotion of the Diversity of Cultural Expressions, 20 October 2005.

uniformly enforced.⁵⁰⁹ Hence, no ‘equality in injustice’ can be claimed by a foreign investor under this standard.

(e) The relevance of discriminatory intent

Most tribunals do not require proof of discriminatory intent for the finding of a violation of a national treatment provision. The Tribunal in *SD Myers v Canada*⁵¹⁰ looked at the practical impact of a government measure rather than for any intent on the part of the host government to favour its national and said:

Intent is important, but protectionist intent is not necessarily decisive on its own. The existence of an intent to favour nationals over non-nationals would not give rise to a breach of [Article] 1102 of the NAFTA if the measure in question were to produce no adverse effect on the non-national complainant. The word ‘treatment’ suggests that practical impact is required to produce a breach of Article 1102, not merely a motive or intent that is in violation of Chapter 11.⁵¹¹

Other tribunals have similarly held that an intent to discriminate was not decisive and that what mattered was the impact or result of the measure.⁵¹²

On the other hand, there are some tribunals whose findings concerning the requirement of intent are ambiguous. The Tribunal in *Genin v Estonia* seemed to require a discriminatory intent as a necessary prerequisite for a finding of discrimination.⁵¹³ *Methanex v United States* also includes language that may be understood to require evidence of intent to discriminate.⁵¹⁴ The same is true for *Electrabel v Hungary*.⁵¹⁵

⁵⁰⁹ *Thunderbird v Mexico*, Arbitral Award, 26 January 2006, para 183.

⁵¹⁰ *SD Myers v Canada*, Partial Award, 13 November 2000.

⁵¹¹ At para 254.

⁵¹² *Feldman v Mexico*, Award, 16 December 2002, para 181; *RFCC v Morocco*, Award, 22 December 2003, para 74; *Occidental Exploration v Ecuador*, Final Award, 1 July 2004, para 177; *Siemens v Argentina*, Award, 6 February 2007, para 321; *Parkerings v Lithuania*, Award, 11 September 2007, para 368; *Corn Products v Mexico*, Decision on Responsibility, 15 January 2008, para 138; *Cargill v Poland*, Final Award, 29 February 2008, para 345; *Bayindir v Pakistan*, Award, 27 August 2009, para 390; *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, para 719.

⁵¹³ *Genin v Estonia*, Award, 25 June 2001, para 369.

⁵¹⁴ *Methanex v United States*, Final Award, 3 August 2005, IV, B, para 12: ‘In order to sustain its claim under Article 1102(3), Methanex must demonstrate, cumulatively, that California intended to favour domestic investors by discriminating against foreign investors and that Methanex and the domestic investor supposedly being favored by California are in like circumstances.’ But in para 1 of the same chapter the Tribunal says: ‘an affirmative finding under NAFTA Article 1102 ... does not require the demonstration of the malign intent alleged by Methanex.’

⁵¹⁵ *Electrabel v Hungary*, Decision on Jurisdiction, Applicable Law and Liability, 30 November 2012, para 7.163: ‘There is no factual evidence that any relevant conduct by MVM, HEO or the Hungarian Government (including its ministers) was ever motivated by national or other discrimination within the terms of Article 10(7) ECT.’

(f) The relevance of WTO case law

On the significance of World Trade Organization (WTO) law and its jurisprudence for the interpretation of investment treaties, earlier NAFTA decisions in *SD Myers*,⁵¹⁶ *Pope & Talbot*,⁵¹⁷ and *Feldman*⁵¹⁸ seemed to assume that the relevant WTO jurisprudence was indeed suitable to guide tribunals. Meanwhile, the tide seems to have turned against relying on WTO jurisprudence in the interpretation and application of the national treatment standard in investment treaties.

The departure from the original approach started in 2004 when the Tribunal in *Occidental Exploration v Ecuador*⁵¹⁹ rejected the argument that WTO jurisprudence should be applied to the BIT between Ecuador and the United States. It noted that the WTO is concerned with 'like products', but the BIT addressed 'like situations', and added that the WTO policies concerning competitive and substitutable goods could not be treated in the same way as the BIT policies concerning 'like situations'.⁵²⁰

The decisive turnaround came with the *Methanex* ruling and its detailed clause-by-clause analysis of the various parts of the NAFTA as compared to the language in WTO law.⁵²¹ The Tribunal pointed out that the NAFTA rules use different language in different parts. In part, the language is the same as that used in the WTO, but not so in Chapter Eleven dealing with foreign investment. The conclusion in *Methanex* was that the NAFTA parties were aware of the difference in language, and that in Chapter Eleven of the NAFTA the parties deliberately referred to 'like circumstances' as opposed to 'like goods'. Thus, the *Methanex* Tribunal ruled that 'like circumstances' in the context of a foreign investment cannot be considered to be identical with the concept of 'like goods' and that, therefore, the NAFTA investment provisions had to be interpreted autonomously, independent from trade law considerations.⁵²²

Other tribunals have adopted the same approach and have refused to transfer GATT/WTO law concerning 'like products' to investment law concerning 'like circumstances'.⁵²³ Nevertheless, *Corn Products v Mexico*⁵²⁴ suggests that the

⁵¹⁶ *SD Myers v Canada*, Partial Award, 13 November 2000, paras 244–247.

⁵¹⁷ *Pope & Talbot v Canada*, Award on Merits, 10 April 2001, paras 45–63, 68–69.

⁵¹⁸ *Feldman v Mexico*, Award, 16 December 2002, para 165.

⁵¹⁹ *Occidental Exploration v Ecuador*, Final Award, 1 July 2004.

⁵²⁰ At paras 153–155, 174–176. At para 175 the Tribunal found that the purpose of national treatment was rather the opposite of that under GATT/WTO: 'it [the national treatment] is to avoid exporters being placed at a disadvantage in foreign markets because of the indirect taxes paid in the country of origin, while in GATT/WTO the purpose is to avoid imported products being affected by a distortion of competition with similar domestic products because of taxes and other regulations in the country of destination.'

⁵²¹ *Methanex v United States*, Final Award, 3 August 2005, IV, B, paras 25–37.

⁵²² At paras 35, 37.

⁵²³ *Bayindir v Pakistan*, Award, 27 August 2009, para 389; *Cargill v Mexico*, Award, 18 September 2009, para 193; *Merrill & Ring v Canada*, Award, 31 March 2010, paras 86–87; *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, para 692.

⁵²⁴ *Corn Products v Mexico*, Decision on Responsibility, 15 January 2008, para 122.

determination of a 'like product' under the GATT rules and the investment provision of Article 1102 of the NAFTA are closely linked. Similarly, the Tribunal in *Cargill v Poland* referred to WTO case law to argue that there is no precise and final definition of 'like'.⁵²⁵

Therefore, although there is no complete departure from GATT/WTO law, there is a clear trend in the case law of investment tribunals to interpret 'like circumstances' or 'like situations' autonomously.

(g) Burden of proof

In general, tribunals have imposed upon the claimant the burden of proving the existence of like circumstances and of discrimination.⁵²⁶ On the other hand, respondents had to prove their affirmative defences, notably the existence of a justification for the differentiation.⁵²⁷

5. Most-favoured-nation treatment

ADDITIONAL READING: P Acconci, 'Most-Favoured Nation Treatment and International Law on Foreign Investment' in P Muchlinski et al (eds) *The Oxford Handbook of International Investment Law* (2008) 363; W Ben Hamida, 'MFN Clauses and Procedural Rights' in T Weiler (ed) *Investment Treaty Arbitration and International Law*, vol 1 (2008) 231; AR Ziegler, 'Most-Favoured-Nation (MFN) Treatment' in A Reinisch (ed) *Standards of Investment Protection* (2008) 59; K Hobér, 'MFN Clauses and Dispute Resolution in Investment Treaties' in C Binder et al (eds) *International Investment Law for the 21st Century* (2009) 31; SW Schill, *The Multilateralization of International Investment Law* (2009); GS Tawil, 'Most Favoured Nation Clauses and Jurisdictional Clauses in Investment Treaty Arbitration' in C Binder et al (eds) *International Investment Law for the 21st Century* (2009) 9; Z Douglas, 'The MFN Clause in Investment Arbitration' (2011) 2 *JIDS* 97; M Paparinskis, 'MFN Clauses and International Dispute Settlement' (2011) 26 *ICSID Rev* 14; C Greenwood, 'Reflections on "Most Favoured Nation"

⁵²⁵ *Cargill v Poland*, Final Award, 5 March 2008, para 311.

⁵²⁶ *ADF v United States*, Award, 9 January 2003, para 157; *Tecmed v Mexico*, Award, 29 May 2003, para 181; *Thunderbird v Mexico*, Arbitral Award, 26 January 2006, para 176; *UPS v Canada*, Award on the Merits, 24 May 2007, para 84; *Alpha v Ukraine*, Award, 8 November 2010, para 428; *Total v Argentina*, Decision on Liability, 27 December 2010, para 212; *Anglo American v Venezuela*, Award, 18 January 2019, paras 495–501.

⁵²⁷ *Feldman v Mexico*, Award, 16 December 2002, para 177; *Nykomb v Latvia*, Arbitral Award, 16 December 2003, p 34; *Apotex v United States*, Award, 25 August 2014, paras 8.6–8.10; *Clayton/Bilcon v Canada*, Award on Jurisdiction and Liability, 17 March 2015, paras 717–724; *Al Tamimi v Oman*, Award, 3 November 2015, para 457; *Mercer v Canada*, Award, 6 March 2018, paras 7.15–7.16; *Olin v Libya*, Award, 25 May 2018, paras 203, 217.

Clauses in Bilateral Investment Treaties' in DD Caron et al (eds) *Practising Virtue: Inside International Arbitration* (2015) 556; A Reinisch, 'Most Favoured Nation Treatment' in M Bungenberg et al (eds) *International Investment Law* (2015) 807; C Titi, 'Most-Favoured-Nation Treatment' (2016) 33 *J Int Arb* 425; S Batifort and JB Heath, 'The New Debate on the Interpretation of MFN Clauses in Investment Treaties' (2017) 111 *AJIL* 873; P Dumberry, 'The Importation of the FET Standard through MFN Clauses' (2017) 32 *ICSID Rev* 116; NJ Calamita and E Zelazna, 'Most-Favoured-Nation Clauses and the Centrality and Limits of General Principles' in A Gattini et al (eds) *General Principles of Law and International Investment Arbitration* (2018) 398; A Cohen Smutny et al, 'The MFN Clause and its Evolving Boundaries', in K Yannaca-Small (ed) *Arbitration under International Investment Agreements* (2018) Ch 23; A Reinisch and C Schreuer, *International Protection of Investments* (2020) 680.

(a) Introduction

Customary international law does not require equal treatment of investors of different nationalities. To remedy inequalities, almost all BITs and most other treaties for the protection of investments contain most-favoured-nation (MFN) clauses. The idea of an MFN clause is to avoid discrimination by ensuring that the State Parties to the treaty treat each other and their nationals at least as favourably as they treat third States and their nationals. The more favourable treatment of other States and their nationals may result from mere practice or from treaty obligations. In international investment law, most cases involving MFN clauses concern situations in which an investor invokes benefits granted in treaties of the host State with third States ('third party treaties').

An MFN clause contained in a treaty (called the 'basic treaty'), will extend the better treatment granted to a third State or its nationals to a beneficiary of the MFN clause. This means not only that discrimination based on nationality in comparison to nationals of third States is prohibited. It also means that the beneficiary of the MFN clause is entitled to rely on treaties that the host State has concluded with third States and that would not be applicable otherwise.

MFN clauses have a multilateralizing effect. MFN treatment ensures that investors automatically receive the most favourable treatment extended by a host State to any third-State investor. The purpose of MFN clauses in investment treaties is the creation of a level playing field for investors by avoiding distortion of competition through differentiated treatment.⁵²⁸ In *National Grid v Argentina*,⁵²⁹ the Tribunal expressed this aim in the following terms:

⁵²⁸ *Telefónica v Argentina*, Decision on Jurisdiction, 25 May 2006, para 98: 'An MFN clause is aimed at ensuring equality of treatment to the beneficiaries in respect of its subject matter at the most advantageous level.'

⁵²⁹ *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006.

The MFN clause is an important element to ensure that foreign investors are treated on a basis of parity with other foreign investors ... when they invest abroad.⁵³⁰

An MFN clause creates a standard that is relative and dynamic. This means that its effect depends on the treaty relations of the host State which may develop over time. If the host State does not grant any relevant benefit to a third State and its nationals, the clause will be without practical significance. However, as soon as the host State does confer a relevant benefit to a third State and its investors, that benefit is automatically extended to the beneficiary of the MFN clause.

The traditional significance of MFN treatment in economic relations has led to the inclusion of MFN clauses in international economic treaties for centuries. It is the core standard for the liberalization of international trade. Article I of the GATT, which contains a general MFN clause, is the cornerstones of the entire regime.

(b) The *ejusdem generis* rule

The application of an MFN clause is subject to the *ejusdem generis* rule. The *ejusdem generis* rule states that benefits from a generally worded MFN clause will accrue only within the subject-matter covered by the basic treaty.⁵³¹ If the matters covered by the basic treaty and the matters invoked in the third-party treaty are *ejusdem generis* (of the same kind), the MFN clause will apply. If the benefit to be derived from the third-party treaty relates to issues different from the subject-matter of the basic treaty, the MFN clause will not apply. Therefore, an MFN clause in an investment treaty will not attract provisions from a consular or an extradition treaty.

The Commentary to the International Law Commission's Report on The Most-Favoured-Nation Clause of 1978 describes the *ejusdem generis* rule in the following terms:

a clause conferring most-favoured-nation rights in respect of a certain matter, or class of matter, can attract the rights conferred by other treaties ... only in regard to the same matter or class of matter.⁵³²

The 'same subject-matter' requirement of the *ejusdem generis* rule is satisfied if both treaties relate to the protection of foreign investments. The Tribunal in *Maffezini v Spain*⁵³³ described the *ejusdem generis* principle as follows:

⁵³⁰ At para 92.

⁵³¹ For a detailed exposition of this principle see the work of the International Law Commission on this topic at YBILC 1978 II, 27.

⁵³² Article 9(1) of the ILC Draft Articles on Most-Favoured-Nation Clauses (1978).

⁵³³ *Maffezini v Spain*, Decision on Jurisdiction, 25 January 2000.

if a third-party treaty contains provisions for the settlement of disputes that are more favorable to the protection of the investor's rights and interests than those in the basic treaty, such provisions may be extended to the beneficiary of the most favored nation clause as they are fully compatible with the *ejusdem generis* principle. Of course, the third-party treaty has to relate to the same subject matter as the basic treaty, be it the protection of foreign investments or the promotion of trade, since the dispute settlement provisions will operate in the context of these matters;⁵³⁴

(c) The scope of MFN clauses

The application of an MFN clause presupposes the applicability of the treaty containing it. To be applicable, BITs and other investment treaties require the existence of an admitted investor and a covered investment. Therefore, an MFN clause cannot be used to expand the category of 'investor' and 'investment' as defined in the treaty.⁵³⁵

The Tribunal in *Metal-Tech v Uzbekistan*⁵³⁶ said in this respect:

As a general matter, the Tribunal notes that, ordinarily, an MFN clause cannot be used to import a more favorable definition of investment contained in another BIT. The reason is that the defined terms 'investments' and 'investors' are used in the MFN clause itself, so that the treatment assured to investments and investors by Article 3 necessarily refers to investments and investors as defined in Article 1 of the BIT. In other words, one must fall within the scope of the treaty, which is in particular circumscribed by the definition of investment and investors, to be entitled to invoke the treaty protections, of which MFN treatment forms part. Or, in fewer words, one must be under the treaty to claim *through* the treaty.⁵³⁷

An MFN clause is not a rule of interpretation. It does not just come into play where the wording of the basic treaty leaves room for doubt. An MFN clause endows its beneficiary with rights that are additional to the rights contained in the basic treaty.

⁵³⁴ At para 56. See also *Suez and InterAgua v Argentina*, Decision on Jurisdiction, 16 May 2006, para 57.

⁵³⁵ *Berschader v Russia*, Award, 21 April 2006, para 188; *Société Générale v Dominican Republic*, Award on Preliminary Objections to Jurisdiction, 19 September 2008, paras 40–41; *HICEE v Slovakia*, Partial Award, 23 May 2011, paras 148–149; *Vannessa v Venezuela*, Award, 16 January 2013, para 133; *Rizvi v Indonesia*, Award on Jurisdiction, 16 July 2013, paras 200–228; *ST-AD v Bulgaria*, Award on Jurisdiction, 18 July 2013, para 397; *Nova Scotia Power v Venezuela*, Award, 30 April 2014, para 150; *Krederi v Ukraine*, Award, 2 July 2018, para 295; *Itisaluna v Iraq*, Award, 3 April 2020, para 150.

⁵³⁶ *Metal-Tech v Uzbekistan*, Award, 4 October 2013, paras 132–163.

⁵³⁷ At para 145. Italics original.

Whoever is entitled to rely on an MFN clause will be granted rights accruing from a third-party treaty even if these rights go beyond the basic treaty.

The final report of the ILC Study Group on the Most-Favoured-Nation clause described the function of an MFN clause as follows:

this is at the very core of what MFN is about: it seeks to provide something better than what the beneficiary would otherwise receive under the basic treaty. On that basis, it would seem inevitable that if the basic treaty provides for a certain kind of treatment, the consequence of the application of an MFN clause is that the treaty provision in the basic treaty would be overridden.⁵³⁸

Opponents of a wide application of MFN clauses point out that investment treaties are the result of specific negotiations. The application of MFN clauses may lead to the replacement of the negotiated substance of these treaties. Under such circumstances, the question arises whether and to what extent the MFN rule is meant to alter specific arrangements and to import a regime from another treaty.

The rules of interpretation laid down in the VCLT apply also to MFN clauses.⁵³⁹ Thus, the primary task is to identify the ordinary meaning of the clause in its context and in the light of the treaty's object and purpose.

A focus on the intention of the parties that would be reflected in the basic treaty's substantive provisions is unconvincing. The intentions of the parties are relevant to the extent that they find expression in the treaty's text.⁵⁴⁰ The treaty's text includes the MFN clause and there is no good reason why the parties' intention should be reflected in the basic treaty's substantive provisions rather than in its MFN clause.

(d) Variations of MFN clauses

The wording of MFN clauses varies, and each clause must be interpreted and applied on its own terms.⁵⁴¹ In many treaties, the MFN clause is combined with a national treatment clause. For instance, the ECT provides:

⁵³⁸ International Law Commission, Final report of the Study Group on the Most-Favoured-Nation clause, Doc A/CN.4/L.852, 29 May 2015, para 115.

⁵³⁹ *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, para 80.

⁵⁴⁰ *Garanti Koza v Turkmenistan*, Decision on the Objection to Jurisdiction for Lack of Consent, 3 July 2013, para 57: 'The best indication of the intentions of the State parties to the U.K.–Turkmenistan BIT is the text of the treaty they signed.' See also *Wintershall v Argentina*, Award, 8 December 2008, paras 78, 88; *El Paso v Argentina*, Award, 31 October 2011, para 590.

⁵⁴¹ *Tza Yap Shum v Peru*, Decision on Jurisdiction and Competence, 19 June 2009, para 198: 'Each MFN clause is a world in itself, which demands an individualised interpretation to determine its scope of application.'

Each Contracting Party shall accord to Investments in its Area of Investors of other Contracting Parties, and their related activities including management, maintenance, use, enjoyment or disposal, treatment no less favourable than that which it accords to Investments of its own Investors or of the Investors of any other Contracting Party or any third state and their related activities including management, maintenance, use, enjoyment or disposal, whichever is the most favourable.⁵⁴²

Other versions of MFN clauses do not refer to the same ‘treatment’, but to ‘all matters subject to this agreement’.⁵⁴³ Some MFN clauses are restricted to a specific standard like FET.⁵⁴⁴ Some MFN clauses, like those in many BITs of the United Kingdom, list the Articles to which MFN treatment is meant to apply.⁵⁴⁵

Many MFN clauses contain exceptions. Typical exceptions relate to regional economic integration organisations and to tax agreements.⁵⁴⁶ Some tribunals have concluded that, under the principle *expressio unius est exclusio alterius*, this means that all matters not falling under an exception must be covered by the MFN clause. The presence of a defined list of exceptions means that other unlisted issues are not excluded.⁵⁴⁷

The application of MFN clauses to dispute settlement is highly contested.⁵⁴⁸ Some treaties specify that their MFN clauses exclude⁵⁴⁹ or include⁵⁵⁰ dispute settlement.

Most MFN clauses relate only to the post-establishment phase. Some treaties, however, especially those of the United States and Canada, extend MFN treatment to the pre-establishment (pre-entry) phase, by including the word ‘establishment’ among the matters covered by the MFN clause.⁵⁵¹

⁵⁴² ECT Article 10(7).

⁵⁴³ See eg Spain–Argentina BIT (1991) Article IV(2).

⁵⁴⁴ See *Paushok v Mongolia*, Award on Jurisdiction and Liability, 28 April 2011, para 570.

⁵⁴⁵ United Kingdom Model Investment Promotion and Protection Agreement (IPPA 2008) Article 3(3).

⁵⁴⁶ Argentina–Germany BIT (1991) Article 3(4).

⁵⁴⁷ *MTD v Chile*, Award, 25 May 2004, para 104; *Siemens v Argentina*, Decision on Jurisdiction, 3 August 2004, para 85; *Gas Natural v Argentina*, Decision on Jurisdiction, 17 June 2005, para 30; *Suez and InterAgua v Argentina*, Decision on Jurisdiction, 16 May 2006, para 56; *National Grid v Argentina*, Decision on Jurisdiction, 20 June 2006, para 82; *RosInvest v Russian Federation*, Award on Jurisdiction, 5 October 2007, para 135; *Hochtief v Argentina*, Decision on Jurisdiction, 24 October 2011, para 74.

⁵⁴⁸ See XII.9 below.

⁵⁴⁹ See CETA, Article 8.7.(4).

⁵⁵⁰ Austrian Model BIT Article 3(3); Austria–Kazakhstan BIT (2010) Article 3(3).

⁵⁵¹ See VI.5(b) above.

(e) MFN and substantive rights

Although the application of MFN clauses to dispute settlement is highly controversial, it is widely accepted that investors may rely on MFN clauses to claim a better substantive treatment accorded by a host State to investors of third States.⁵⁵² There is ample practice to demonstrate that tribunals have allowed the importation, by operation of an MFN clause, of substantive standards of protection not contained in the basic treaty.⁵⁵³ The Tribunal in *Berschader v Russian Federation*⁵⁵⁴ found that:

[i]t is universally agreed that the very essence of an MFN provision in a BIT is to afford to investors all material protection provided by subsequent treaties⁵⁵⁵

Not all treaties offer all the typical standards of treatment like compensation for expropriation, FET, FPS, national treatment, protection against arbitrary or discriminatory measures, umbrella clauses, and transfer clauses. Where some of these substantive standards were missing in the basic treaty or were expressed in narrower terms, claimants have successfully resorted to MFN clauses in the respective treaties to rely on the wider protection in other treaties.

For instance, where the assurance of FET was missing from the basic treaty, tribunals have imported it with the help of an MFN clause.⁵⁵⁶ In *ATA v Jordan*,⁵⁵⁷ the Tribunal permitted the claimant to invoke a breach of FET although the applicable Jordan–Turkey BIT did not contain such a clause. The Tribunal noted:

by virtue of Article II(2) of the Treaty (the ‘MFN’ clause), the Respondent has assumed the obligation to accord to the Claimant’s investment fair and equitable treatment (see the UK–Jordan BIT) and treatment no less favourable than that required by international law (see the Spain–Jordan BIT).⁵⁵⁸

Other standards of treatment, not contained in the basic treaty, were also made applicable with the help of an MFN clause.⁵⁵⁹ In *Tatneft v Ukraine*,⁵⁶⁰ the Tribunal

⁵⁵² See, however, CETA, Article 8.7 which seems to exclude the use of the MFN clause to import substantive standards from other treaties.

⁵⁵³ DD Caron and E Shirlow, ‘Most-Favored-Nation Treatment: Substantive Protection’ in M Kinnear et al (eds) *Building International Investment Law* (2016) 399, 400; P Dumberry, ‘The Importation of the FET Standard through MFN Clauses: An Empirical Study of BITs’ (2017) 32 *ICSID Rev* 116.

⁵⁵⁴ *Berschader v Russian Federation*, Award, 21 April 2006.

⁵⁵⁵ At para 179.

⁵⁵⁶ *Bayindir v Pakistan*, Award, 27 August 2009, paras 155, 157; *Rumeli v Kazakhstan*, Award, 29 July 2008, para 575; *LESI & ASTALDI v Algeria*, Award, 12 November 2008, para 151; *Paushok v Mongolia*, Award, 28 April 2011, paras 242, 246, 254, 307, 562–572; *Al-Warraq v Indonesia*, Final Award, 15 December 2014, paras 541, 555.

⁵⁵⁷ *ATA v Jordan*, Award, 18 May 2010.

⁵⁵⁸ At para 125, footnote 16.

⁵⁵⁹ *Micula v Romania II*, Award, 5 March 2020, paras 439–443, 446.

⁵⁶⁰ *Tatneft v Ukraine*, Award, 29 July 2014.

permitted the importation not only of FET but also of the full protection and security standard by way of an MFN clause.⁵⁶¹ In *Devas v India*,⁵⁶² the Tribunal affirmed ‘the possibility of importing the full protection and security clause of a third-party treaty’.⁵⁶³

MFN clauses have also been invoked in the context of defining the standard of compensation for expropriation. In *CME v Czech Republic*,⁵⁶⁴ the applicable BIT provided for ‘just compensation’ representing the ‘genuine value of the investment affected’. In its award, the Tribunal relied on the MFN clause to rule that the compensation should represent the ‘fair market value’ of the investment:

The determination of compensation under the Treaty between the Netherlands and the Czech Republic on basis of the ‘fair market value’ finds further support in the ‘most favored nation’ provision of Art. 3(5) of the Treaty ... The bilateral investment treaty between the United States of America and the Czech Republic provides that compensation shall be equivalent to the fair market value of the expropriated investment immediately before the expropriatory action was taken ... The Czech Republic therefore is obligated to provide no less than ‘fair market value’ to Claimant in respect of its investment, should (in contrast to this Tribunal’s opinion) ‘just compensation’ representing the ‘genuine value’ be interpreted to be less than ‘fair market value’.⁵⁶⁵

There is also case authority to support the importation of an umbrella clause, that is absent in the basic treaty, by way of an MFN clause.⁵⁶⁶ In *Arif v Moldova*,⁵⁶⁷ the Tribunal accepted that an umbrella clause was one of the ‘substantive obligations’ to which the MFN clause applied. The Tribunal stated:

Both Parties agree that an MFN clause applies to substantive obligations. The MFN clause in Article 4 is broadly drafted and does not restrict its application to any particular kind of substantive obligation under the BIT. Therefore, the Tribunal finds that the MFN clause of the BIT can import an ‘umbrella’ clause (which is substantive in nature), from either the Moldova–UK or Moldova–USA BIT, thereby extending the more favourable standard of protection granted by the ‘umbrella’ clause in either one of these BIT’s into the BIT at hand. Respondent’s

⁵⁶¹ At para 365.

⁵⁶² *Devas v India*, Award on Jurisdiction and Merits, 25 July 2016.

⁵⁶³ At para 496.

⁵⁶⁴ *CME v Czech Republic*, Final Award, 14 March 2003.

⁵⁶⁵ At para 500.

⁵⁶⁶ *Abaclat v Argentina*, Decision on Jurisdiction and Admissibility, 4 August 2011, para 317; *EDF v Argentina*, Award, 11 June 2012, para 937; *EDF v Argentina*, Decision on Annulment, 5 February 2016, para 237; *Consutel v Algeria*, Final Award, 3 February 2020, paras 356–359.

⁵⁶⁷ *Arif v Moldova*, Award, 8 April 2013.

arguments to the contrary are rejected. The Tribunal therefore has jurisdiction over Claimant's 'specific commitments' claim via the MFN clause of Article 4.⁵⁶⁸

A seemingly innocuous reference in the MFN clause to all matters covered by the basic treaty may serve to exclude the importation of additional standards. In *Teinver v Argentina*,⁵⁶⁹ the Spain–Argentina BIT contained an MFN clause that was subject to the limiting words 'in all matters governed by this Agreement'. The Tribunal held that this phrase amounted to a limitation to matters already governed by the BIT which excluded the importation of new standards from a more favourable treaty. The Tribunal said:

In the Tribunal's view, in interpreting the scope of the MFN Clause contained in Article IV(2) of the Treaty, meaning must be given to the critical words '[i]n all matters governed by this Agreement'. According to Claimants, this language should be interpreted as referring generally to the protection of foreign investors. This interpretation is too broad and disregards the reference to all 'matters' governed by the Treaty. In the Tribunal's view, the plain and ordinary meaning of this language is to refer to the various rights or forms of protection contained in the individual provisions of the Treaty.⁵⁷⁰

In some cases, tribunals declined to apply an MFN clause because they found that the claimants were not in 'like circumstances' or in a 'similar situation'.⁵⁷¹

6. The umbrella clause

ADDITIONAL READING: S Alexandrov, 'Breaches of Contract and Breaches of Treaty' (2004) 5 *JWIT* 555; A Sinclair, 'The Origins of the Umbrella Clause in the International Law of Investment Protection' (2004) 4 *Arbitration International* 411; T Wälde, 'The "Umbrella" Clause in Investment Arbitration' (2005) 6 *JWIT* 183; N Gallus, 'An Umbrella just for Two?' (2008) 24 *Arbitration International* 157; MC Gritón Salias, 'Do Umbrella Clauses Apply to Unilateral Undertakings?' in C Binder et al (eds) *International Investment Law for the 21st Century* (2009) 490; SW Schill, 'Umbrella Clauses as Public Law Concepts in Comparative Perspective' in SW Schill (ed) *International Investment Law and Comparative Public Law* (2010) 317; T Gazzini and A Tanzi, 'Handle with Care: Umbrella Clauses and MFN Treatment in Investment Arbitration' (2013) 14 *JWIT* 978; S Hamamoto, 'Parties to the

⁵⁶⁸ At para 396.

⁵⁶⁹ *Teinver v Argentina*, Award, 21 July 2017.

⁵⁷⁰ At para 884.

⁵⁷¹ *Parkerings v Lithuania*, Award, 11 September 2007, paras 369, 396; *İçkale v Turkmenistan*, Award, 8 March 2016, paras 328–329; *Vento v Mexico*, Award, 6 July 2020, paras 240–265.